Note that most states have “standard” contracts for real estate transactions. Unless you’re doing something unusual, this standard contract should apply well to your first purchase. Any meaningful deviation from the standard contract requires an attorney, which can spook the seller and cause friction in the transaction process. Unless absolutely necessary, you should stick to your state’s standard contract.

NAVIGATING THE OFFER CONTRACT

Making an offer can feel like it’s happening so quickly that you hardly have any time to think. Take a moment to make sure that you (and anyone else you’re purchasing with) understand all the important parts of the contract. We know it’s full of legal jargon, but you should read the whole thing.

Without further ado, let’s break down the parts of a contract and what each of them really means, so you don’t have to spend days combing through legalese to get to the good stuff.

Parties and Property

The contract will start by defining who is buying what from whom. If more than one person is on the buyer’s side, they will be designated as either “Joint Tenants” or “Tenants in Common.”

Joint tenancy means you are purchasing with one or more partners who all have equal ownership. This also comes with the right of survivorship, so if one of the partners dies, the remaining partners will equally and automatically split the ownership percentage of the deceased partner. A partner who wants to leave the agreement can’t sell their ownership rights without consent of all other partners. This is the most common option for married couples who are purchasing a property together.

Tenants in common means that you’re purchasing with one or more partners, but there can be uneven ownership percentages that can also be sold or conveyed to another person without permission of the other partners.

Inclusions